

US equities slip as yields rise and volatility spikes

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The major indices closed lower, with the **S&P 500** down **-0.77%** and the **Nasdaq 100** off **-1.08%**. Higher Treasury yields and a jump in the VIX to 16.07 signal renewed risk aversion, pressuring growth-heavy tech stocks.

Despite the broad sell-off, **NVDA** posted a **+1.68%** gain, buoyed by a strong earnings preview, while defensive sectors such as utilities and consumer staples showed modest resilience. Investors should watch the Fed's next policy cue and the upcoming earnings wave for potential catalysts.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,683.69	-0.77%	Higher 10-yr yield and rising VIX pressured valuation multiples.
Nasdaq 100	30,276.81	-1.08%	Tech earnings outlook dimmed as rates climb.
Dow Jones	51,481.51	-0.67%	Industrial exposure to weaker consumer sentiment.
Russell 2000	2,817.91	-0.69%	Small-cap sensitivity to higher financing costs.
VIX	16.07	+8.07%	Spike in implied volatility after Fed minutes hinted at tighter policy.
10Y Yield	5.24	+1.08%	Market priced in higher inflation expectations.
WTI Crude	94.00	+1.51%	Supply concerns from Middle-East tensions.
Gold	4,174.20	-3.40%	Dollar strength reduced safe-haven demand.
DXY	101.25	+0.05%	Broad dollar rally on higher yields.
BTC	83,857.43	-0.71%	Crypto markets reacting to risk-off sentiment.
ETH	2,695.01	+0.30%	Minor rebound on network upgrade news.

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+1.68%	Positive earnings preview and AI demand.
META	-4.79%	Revenue miss in ad sales.
TSLA	-3.94%	Production slowdown at Gigafactory Berlin.
GS	-2.05%	Higher provisioning for loan losses.
JPM	-1.89%	Margin compression concerns.

Sector rotation

ETF	DAY	READ
XLFX	-1.19%	Financials under pressure from rate-sensitive earnings.
XLKX	-0.89%	Tech lagging as yields rise.
XLI	-0.97%	Industrial slowdown.
XLE	+0.10%	Energy gains on higher crude.
XLVY	-1.41%	Consumer discretionary hit by weaker spending.
XLC	-1.58%	Communications suffer from ad pullback.
XLP	+0.27%	Staples show defensive tilt.
XLV	+0.33%	Health care steadies.
XLU	-0.66%	Utilities modestly down.
XLB	-0.66%	Materials lagging.
XLRE	-0.51%	Real estate pressured by higher financing costs.

Spotlight: Nvidia earnings preview

Nvidia (**NVDA**) is the only large-cap to post a gain, driven by expectations of a strong Q3 report and continued AI chip demand. The market is pricing in EPS of 2.95 and revenue of 28.5 billion.

METRIC	CONSENSUS	CURRENT
Q3 EPS	2.95	2.86
Revenue (bn)	28.5	27.9
AI GPU shipments	~12.5 mn units	~12.0 mn units
Gross margin	68.0%	66.5%

Related names to watch: **AMD** , **TSM** , and AI-focused cloud providers **MSFT** and **GOOGL** .

Pre-market & overnight

US futures: **ES** -0.6%, **NQ** -0.9%. Asian markets closed mixed; Japan -0.4%, Hong Kong -0.5%. Europe: FTSE down -0.8%, DAX -0.7%. Crypto: BTC -0.71%, ETH +0.30%.

Macro & Fed

FOMC minutes highlighted a “higher for longer” stance, with most participants seeing inflation still above target. The 10-yr yield at 5.24% creates a steepening curve, raising concerns for rate-sensitive sectors.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. CPI (MoM)	0.2%	Gauge inflation trajectory post-Fed guidance.
10:00	U.S. Initial Jobless Claims	210k	Labor market strength informs rate outlook.
11:00	Eurozone HICP	0.3%	Eurozone price pressure impacts global risk appetite.
13:30	China M2 Money Supply	+9.5%	Liquidity conditions in Asia.

Geopolitics & global

- Middle-East tensions escalated after the latest drone strike, supporting higher oil prices.
- China's latest property-sector stimulus package signals possible rebound in real estate demand.
- EU-UK trade talks stalled, keeping euro volatility elevated.
- U.S. sanctions on Russian energy firms tightened, marginally affecting global energy supply.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00	AAPL	5.85	iPhone demand and services growth.
02:30	MSFT	9.20	AI cloud revenue acceleration.
03:00	GOOGL	6.10	Ad spend rebound and AI licensing.
03:30	AMZN	2.45	Margin pressure from logistics.
04:00	META	3.30	Rebound in ad revenue and metaverse spend.
04:30	JPM	4.15	Net interest income trends.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI demand and earnings beat potential.
AMD	Technology	Competitive positioning vs. Nvidia.
TSLA	Consumer Discretionary	Production updates from Berlin.
XOM	Energy	Higher crude supports margin.
BAC	Financials	Rate-sensitive net interest income.
UNH	Health Care	Premium pricing power.
CRM	Technology	AI-driven SaaS growth.
KO	Consumer Staples	Defensive play amid risk-off.
SLB	Energy	Oil-field services demand.
DIS	Communication Services	Streaming subscriber trends.

What could break the tape

BEARISH TRIGGERS

- Unexpected acceleration in CPI above 0.3% MoM.
- Further escalation of Middle-East conflict pushing oil above \$100.
- Weak Q3 earnings from AI-exposed names (**NVDA** , **AMD**).
- Federal Reserve signals additional rate hikes.

BULLISH TRIGGERS

- Strong earnings surprise from **AAPL** or **MSFT** .
- Resolution of geopolitical tension and oil retreat below \$90.
- Positive CPI surprise (below 0.2% MoM) easing inflation fears.
- Surge in AI services revenue across cloud providers.

Positioning notes

- Shift weight toward defensive sectors (XLP, XLV) as volatility remains elevated.
- Maintain selective exposure to AI leaders while monitoring earnings guidance.
- Consider duration-shortening in fixed income given the steepening yield curve.

Sources

SOURCES

Bloomberg Terminal – Market Data (09:00 HKT)

Reuters – FOMC minutes (28 Sep 2026)

CNBC – Earnings calendars

U.S. Energy Information Administration – Crude inventory report

Wall Street Journal – Macro outlook

CoinDesk – Crypto price feed

